

		The motion is unopposed. This Court has discretion to allow filing of a cross-complaint in order to ensure efficient litigation of the parties' claims on the merits. (See <i>Crocker Nat. Bank v. Emerald</i> (1990) 221 Cal.App.3d 852, 864; <i>Kalai v. Gray</i> (2003) 109 Cal.App.4th 768, 776.) Here, Defendant, the alleged manufacturer of the soda dispenser which caused Plaintiff's injuries, seeks to cross-complaint against another manufacturer which it contends is at fault for manufacturing the device - Marmon Holdings, Inc. The Court finds it is in the interests of justice to adjudicate such issues in this proceeding. The Cross-Complaint shall be filed and served within ten days of this order.
8	26-01544996 <i>Gold Flora LLC vs. Constellation Newenergy, Inc.</i>	1) Demurrer to Complaint 2) Demurrer to Complaint 3) Motion to Quash Service of Summons 4) Motion to Strike Complaint 5) Motion to Strike Portions Of Complaint Defendant Constellation Newenergy, Inc.'s (Constellation) Demurrer to Plaintiffs' Complaint is OVERRULED. Request for judicial notice (ROA 26) Constellation requests judicial notice of the following documents: - Exhibit A – 3/27/25 Declaration of Laurie Holcomb in Support of Gold Flora Corporation's Ex Parte Application For an Order Appointing a Receiver, along with exhibits, filed in the case of In re Gold Flora Corporation, et al., Superior Court for the State of California, County of Los Angeles, Case No. 25SMCP00161. - Exhibit B - Gold Flora, LLC and Black Lion Farms, LLC's 4/4/23 First Amended Complaint, along with exhibits, filed in the case of Gold Flora, LLC, et al. v. Constellation NewEnergy, Inc., United States District Court for the Central District of California, Case No. 8:22-cv-02088-JVS-JDE. - Exhibit C - Draft Master Funding Agreement between Black Lion Farms, LLC and Constellation NewEnergy, Inc. - Exhibit D - United States District Court for Central District of California's 3/14/23 Order on Constellation NewEnergy, Inc.'s Motion to Dismiss Gold Flora, LLC and Black Lion Farms, LLC's Complaint in the case of Gold Flora, LLC, et al. v. Constellation NewEnergy, Inc., Case No. 8:22-cv-02088-JVS-JDE. A court may take judicial notice of records of any court of this state, of the United States, or of any state of the United States. (Evid. Code § 452, subd. (d).) While "[a] court may take judicial notice of the <i>existence</i> of each document a court file, [it] can only take judicial notice

of the *truth* of facts asserted in documents such as orders, findings of fact and conclusions of law, and judgments.” (*People v. Thacker* (1985) 175 Cal.App.3d 594, 599 [citation omitted, italics in original].)

With respect to the Draft Master Funding Agreement (Exhibit C), “the existence of a contract between private parties cannot be established by judicial notice under Evidence Code section 452, subdivision (h).” (*CSHV 1999 Harrison, LLC v. County of Alameda* (2023) 92 Cal.App.5th 117, 135 fn. 12 [citation omitted].)

The Court GRANTS judicial notice as to Exhibits A, B, and D and DENIES judicial notice as to Exhibit C.

First cause of action for breach of contract

“To state a cause of action for breach of contract, a party must plead the existence of a contract, his or her performance of the contract or excuse for nonperformance, the defendant’s breach and resulting damage.” (*Harris v. Rudin, Richman & Appel* (1999) 74 Cal.App.4th 299, 307 [citation omitted].)

Plaintiffs allege Gold Flora and Constellation entered into the Project Term Sheet with Black Lion as a third party beneficiary. (Compl. ¶ 88.) Plaintiffs allege the Project Term Sheet states Constellation approved their project for funding and allocated almost \$16 million to fund Plaintiffs’ facility improvement project. (Compl. ¶ 65.) Plaintiffs allege Defendants breached the Project Term Sheet by failing to fully fund the amount as required and that Plaintiffs were damaged. (Compl. ¶¶ 90, 91.)

This is sufficient at the pleading stage.

While Constellation contends the Project Term Sheet did not constitute a binding contract to provide financing as it left numerous terms for further negotiation and was subject to third-party approval, a determination of whether the term sheet constitutes a contract is not appropriate at the demurrer stage.

The Court OVERRULES demurrer to the first cause of action.

Second cause of action for breach of the covenant of good faith and fair dealing

“The implied covenant of good faith and fair dealing rests upon the existence of some specific contractual obligation.” (*Racine & Laramie, Ltd. v. Department of Parks & Recreation* (1992) 11 Cal.App.4th 1026, 1031 [citation omitted].) “The covenant of good faith is read into contracts in order to protect the express covenants or promises of the contract, not to protect some general public policy interest not directly tied to the contract’s purpose.” (*Ibid.* [citation omitted].) “In essence, the covenant is implied as a *supplement* to the express contractual covenants, to prevent a contracting party from engaging in conduct

which (while not technically transgressing the express covenants) frustrates the other party's rights to the benefits of the contract." (*Id.* at pp. 1031-1032 [citation omitted].) "There is no obligation to deal fairly or in good faith absent an existing contract." (*Id.* at p. 1032 [citations omitted].)

"If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated." (*Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1395).

Constellation's contention this cause of action fails as Plaintiffs have not alleged the existence of a contract fails for the reason discussed above. Constellation further contends this claim fails as Plaintiffs merely restate the contract allegations in different terms and is thus duplicative.

In addition to alleging Constellation breached the contract by failing to fully fund the amount as required, Plaintiff further allege "Constellation materially breached the implied covenant of good faith and fair dealing that is implied in the Project Term Sheet by failing to attempt to meet their deadlines expressly set forth in the Project Term Sheet, and by failing and refusing to submit the Project Term Sheet for the 'concurrence' of the Treasury Department and Senior Management committee by September 15, 2022, by failing and refusing to meet any additional requirements or contingencies on their end to obtain the necessary approvals, and then asserting the lack of Treasury Department concurrence as a basis for denying, in bad faith, the existence of an agreement with Plaintiffs." (Compl. ¶ 95.)

As such, Plaintiffs sufficiently allege Constellation engaged in conduct which frustrated Plaintiffs' rights to the benefits of the contract.

The Court OVERRULES the demurrer as to the second cause of action.

Third cause of action for fraud (intentional misrepresentation) and fourth cause of action for fraud (concealment)

"The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638 [citations omitted].)

Plaintiffs allege:

- During a telephone call on August 16, 2022, at 12:45 pm PST with Holcomb, Lau, Breuninger, Navarro, Fraga, and Samways, Navarro stated that the loan "will fund in September." That was

		false; Defendants knew that Constellation would not fund in September. And Defendants knew that any other potential funding source was improbable at best. On that same call, Navarro also said that only the signed Project Term Sheet would be necessary for funding. (Compl. ¶ 103.) - On August 30, 2022, during a telephone call (apparently with everyone calling from their home offices in the locations noted above) with Holcomb, Lau, Breuninger, and Samways, Navarro made further reassurances that funding would timely occur and confirmed that the Treasury Department would “concur” as to funding and deemed the meeting as a “rubber stamp” event. (Compl. ¶ 104.) - These statements were knowingly false. Navarro knew that Constellation would not fund the transaction, and he knew that the Treasury Department would not concur as to funding. (Compl. ¶ 105.) Plaintiffs allege Defendants intended to defraud Plaintiffs and Plaintiffs reasonably relied on the false representation. (Compl. ¶ 106.) Plaintiffs allege without the misrepresentations by Defendants, Plaintiffs would not have ceased discussions with other potential lenders and represented to business relationships that final financing approval had been obtained. (Compl. ¶ 107.) Plaintiffs further allege Defendants concealed facts including that Constellation had not approved the project for funding, had not conducted a credit or management review, and would not fund the transaction, as well as the facts of Constellation’s outreach efforts with third-party lenders to secure funding for transaction. (Compl. ¶ 115.) Plaintiff allege Defendants had a duty to disclose material facts and risks associated with the transaction as they had exclusive knowledge of material facts, including that they would not fund in September and that the Treasury Department would not provide final concurrence. (Compl. ¶¶ 76, 103, 114.) These allegations are sufficient at the pleading stage. Constellation further contends Plaintiffs’ fraud causes of action are barred by the economic loss doctrine, which provides, “[i]n general, there is no recovery in tort for negligently inflicted ‘purely economic losses,’ meaning financial harm unaccompanied by physical or property damage.” (<i>Sheen v. Wells Fargo Bank, N.A.</i> (2022) 12 Cal.5th 905, 922 [citations omitted].) An element of independence from the parties’ contractual rights must be present to avoid application of the economic loss rule. (See <i>Rattagan v. Uber Technologies, Inc.</i> (2024) 17 Cal.5th, 20-21.) “[I]ndependence is present in the case of fraudulent inducement (whether it is achieved by intentional concealment or by intentional affirmative misrepresentations), because a defendant’s conduct in fraudulently inducing someone to enter a contract is separate from the defendant’s
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later breach of the contract” (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 841.)

As discussed above, Plaintiffs have sufficiently alleged a cause of action for fraud.

The Court OVERRULES the demurrer to the third and fourth causes of action.

Fifth cause of action for negligence misrepresentation

The elements of a negligent misrepresentation are (1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another’s reliance on the fact misrepresented, (4) justifiable reliance, and (5) resulting damage. (*Borman v. Brown* (2021) 59 Cal.App.5th 1048, 1060 [citation omitted].)

“Negligent misrepresentation does not require knowledge of falsity.” (*Ibid.* [citations omitted].)

“[T]he same elements of intentional fraud also comprise a cause of action for negligent misrepresentation, with the exception that there is no requirement of intent to induce reliance.” (*Tenet Healthsystem Desert, Inc. v. Blue Cross of California* (2016) 245 Cal.App.4th 821, 845.) Where Plaintiffs sufficiently plead a cause of action for fraud as discussed above, Plaintiffs also sufficiently plead a cause of action for negligent misrepresentation. (*Ibid.*)

The Court OVERRULES the demurrer to the fifth cause of action.

MOTION NO. 2 – MOTION TO STRIKE BY DEFENDANT CONSTELLATION NEWENERGY, INC.

Defendant Constellation Newenergy, Inc.’s (Constellation) Motion to Strike portions of Plaintiffs’ Complaint is GRANTED in part and DENIED in part.

Constellation moves to strike portions of Plaintiffs’ complaint referring to special damages, punitive damages, and attorneys’ fees.

Special damages

Constellation contends Plaintiffs fail to adequately plead a factual basis for the \$156.7 million requested in special damages. Specifically, Constellation contends, among other things, the alleged damages bear no connection to the contemplated project funding, Plaintiffs do not plead what alternative financing opportunities they allegedly lost, and the causal chain from the Project Term Sheet to the alleged damages is too speculative.

Plaintiffs allege they intended to use the loan proceeds to implement multi-million-dollar projects and pay off important debts, including debts due and payable, and promote and increase Plaintiffs’ business

value and revenue (Compl. ¶¶ 44, 45, 50.) Plaintiffs further allege that as a result of Defendants’ conduct, Plaintiffs incurred damages “related to increased financing costs and other costs incurred in obtaining such financing, resulting inability to timely meet certain debt obligations, diminution in value of Plaintiffs’ companies such that Plaintiffs were forced to enter into receivership, sell all of its operating assets and incur substantial operating losses and liabilities.” (Compl. ¶ 91.)

These allegations are sufficient at the pleading stage. A determination of whether Plaintiffs are actually entitled to special damages based on the language of the Project Term Sheet and understanding between the parties is not appropriate for purposes of this motion.

Punitive damages

To support a demand for punitive damages, a plaintiff must allege facts demonstrating oppression, fraud, or malice. (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166; Civ. Code, § 3294, subd. (a).) “A fraud cause seeking punitive damages need not include an allegation that the fraud was motivated by the malicious desire to inflict injury upon the victim. The pleading of fraud is sufficient.” (*Stevens v. Superior Court* (1986) 180 Cal.App.3d 605, 610-611 [citations omitted].)

As discussed above, Plaintiffs have sufficiently alleged a cause of action for fraud.

Constellation further contends Plaintiffs fail to allege any of its officers, directors, or managing agents authorized, ratified, or personally engaged in the alleged oppressive or malicious conduct.

Plaintiffs allege Navarro is Constellation’s “Director, Commercial Solutions Sales and Strategy” and Winemiller is a Constellation “Business Development Manager.” (Compl. ¶¶ 26–27.) Plaintiffs further allege Navarro and Winemiller signed the Project Term Sheet and engaged in fraudulent conduct. (Compl. ¶¶ 7-10, 42, 76, 103-105.)

This is sufficient at the pleading stage.

Attorneys’ fees

Plaintiffs have not alleged any contract, statute or law which allows for the recovery of attorneys’ fees or statutory damages.

The Court GRANTS Constellation’s motion to strike Plaintiffs’ allegations and prayer for attorneys’ fees (Compl. ¶¶ 91, 96, 108, 118, 125, Prayer ¶ 3) with 10 days leave to amend.

**MOTION NO. 3 – DEMURRER TO COMPLAINT BY
DEFENDANTS ALTERNATIVE ENERGY DEVELOPMENT
GROUP, LLC, SOLARSENSE, LLC, AND CHRIS FRAGA**

Defendants Alternative Energy Development Group, LLC (AEDG), Solarsense, LLC (Solarsense), and Chris Fraga’s (collectively, Defendants) Demurrer to Plaintiff’s Complaint is OVERRULED.

Third cause of action for fraud (intentional misrepresentation) and fourth cause of action for fraud (concealment)

“The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638 [citations omitted].)

Plaintiffs allege Solarsense is AEDG’s corporate parent and Fraga is the CEO of AEDG and Solarsense. (Compl. ¶ 5.)

Defendants contend Plaintiffs fail to sufficiently allege facts supporting fraud as to AEDG, Solarsense, and Fraga (collectively, AEDG).

Plaintiffs contend they have sufficiently alleged fraud as to AEDG directly as well as by alleging conspiracy.

“Civil conspiracy is not an independent cause of action. Instead, it is a theory of co-equal legal liability under which certain defendants may be held liable for ‘an independent civil wrong’ committed by others. . . .

Under a conspiracy theory of recovery, liability depends on the actual commission of a tort. . . . [T]he conspiring defendants must have actual knowledge that a tort is planned and concur in the scheme with knowledge of its unlawful purpose. Knowledge of the planned tort must be combined with intent to aid in its commission.” (*Navarrete v. Meyer* (2015) 237 Cal.App.4th 1276, 1291-1292 [cleaned up].)

Plaintiffs allege:

- AEDG conspired with Winemiller and Navarro at Constellation to induce Plaintiffs to enter into a fraudulent agreement. (Compl. ¶ 9.)
- Fraga facilitated the agreement between Plaintiffs and Constellation and intentionally misrepresented or negligently withheld vital information regarding the transaction including AEDG’s application to be a direct partner with Constellation and misrepresented Constellation’s ability to fund the deal. Fraga had a duty to disclose this information and conspired with Navarro and Winemiller at Constellation to defraud Plaintiffs. (Compl. ¶ 10.)
- AEDG Colluded with Constellation during the negotiation process to misrepresent and conceal material facts regarding the deal from Plaintiffs during the negotiation period, including withholding from Plaintiffs material facts regarding the deal before and after the Project Term Sheet was executed. (Compl. ¶ 42.)
- Winemiller told Fraga Constellation did not yet have confirmation it could fund the full amount set forth in the Project

Term Sheet, but those doubts were never communicated to Plaintiffs by anyone at AEDG. (Compl. ¶ 60.)

- Defendants formed and operated a conspiracy and each stood to benefit financially from the transaction, and each Defendant was incentivized to delay and keep Gold Flora hooked into the Project Term Sheet in order to protect the deal. (Compl. ¶¶ 110-111.)

These allegations are sufficient at the pleading stage.

The Court OVERRULES the demurrer to the third and fourth causes of action.

Fifth cause of action for negligence misrepresentation

The elements of a negligent misrepresentation are (1) the misrepresentation of a past or existing material fact, (2) without reasonable ground for believing it to be true, (3) with intent to induce another's reliance on the fact misrepresented, (4) justifiable reliance, and (5) resulting damage. (*Borman v. Brown* (2021) 59 Cal.App.5th 1048, 1060 [citation omitted].)

"Negligent misrepresentation does not require knowledge of falsity." (*Ibid.* [citations omitted].)

"[T]he same elements of intentional fraud also comprise a cause of action for negligent misrepresentation, with the exception that there is no requirement of intent to induce reliance." (*Tenet Healthsystem Desert, Inc. v. Blue Cross of California* (2016) 245 Cal.App.4th 821, 845.) Where Plaintiffs sufficiently plead a cause of action for fraud as discussed above, Plaintiffs also sufficiently plead a cause of action for negligent misrepresentation. (*Ibid.*)

The Court OVERRULES the demurrer to the fifth cause of action.

MOTION NO. 4 – MOTION TO STRIKE BY DEFENDANTS ALTERNATIVE ENERGY DEVELOPMENT GROUP, LLC, SOLARSENSE, LLC, AND CHRIS FRAGA

Defendants Alternative Energy Development Group, LLC, Solarsense, LLC, and Chris Fraga's (collectively, Defendants) Motion to Strike portions of Plaintiffs' Complaint is GRANTED in part and DENIED in part.

Defendants move to strike portions of Plaintiff's referring to punitive damages and attorneys' fees.

Punitive damages

To support a demand for punitive damages, a plaintiff must allege facts demonstrating oppression, fraud, or malice. (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166; Civ. Code, § 3294, subd. (a).) "A fraud cause seeking punitive damages need not include an allegation that

		the fraud was motivated by the malicious desire to inflict injury upon the victim. The pleading of fraud is sufficient.” (<i>Stevens v. Superior Court</i> (1986) 180 Cal.App.3d 605, 610-611 [citations omitted.]]) As discussed above, Plaintiffs have sufficiently alleged a cause of action for fraud. <u>Attorneys’ fees</u> Plaintiffs have not alleged any contract, statute or law which allows for the recovery of attorneys’ fees or statutory damages. <u>MOTION NO. 5 – MOTION TO QUASH BY SPECIALLY APPEARING DEFENDANTS TIMOTHY NAVARRO AND PATRICK WINEMILLER</u> The Court GRANTS Defendants’ motion to strike Plaintiffs’ allegations and prayer for attorneys’ fees (Compl. ¶¶ 91, 96, 108, 118, 125, Prayer ¶ 3) with 10 days leave to amend. Specially Appearing Defendants’ Timothy Navarro and Patrick Winemiller’s Motion to Quash Service of Summons and Complaint is CONTINUED to [REDACTED]. The Court notes Plaintiffs have filed a Motion to Seal Exhibits F through N of the Declaration of Kieran Ringgenberg supporting the Opposition to the Motion to Quash and any references to them set for hearing on 1/28/27. (ROA 152.) As the Motion to Seal includes documents relevant to the Court’s determination of the Motion to Quash, the Court CONTINUES the hearing to after the hearing on the Motion to Seal.
9	25-01536466 <i>Inda vs. DiSegna</i>	Motion to Strike Defendants Joseph Disegna and Kim Disegna’s motion to strike portions of plaintiffs Victor Inda and Miriam Azizi’s Complaint is GRANTED with 20-days leave to amend. Defendants seek to strike paragraphs 19, 20, 34, 37, 48, 49, 52 and prayer (B) (incorrectly referenced as “Page 9, ¶ 52”) of Plaintiff’s Complaint. Civil Code Section 3294, subdivision (a) provides for punitive damages: “In an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice, the plaintiff, in addition to the actual damages, may recover damages for the sake of example and by way of punishing the defendant.” Section 3294, subdivision (c) defines malice, oppression and fraud as follows: “(1) ‘Malice’ means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others. [¶] (2) ‘Oppression’ means despicable conduct that